

IE pitch deck

PITCH — IE — VERDICT

PROPOSED — PENDING ADJUDICATION — no buy today: stay flat through the September study, because the event that settles the value is the same event that lets the company sell shares, and our own corrected math says the stock at ~\$9.85–10.03 already pays for a copper price of about \$4.64/lb against a \$4.25 published base case.

What we believe

Ivanhoe Electric owns the Santa Cruz copper project in Arizona — a large, high-grade deposit that would be one of very few new US copper mines. It is pre-revenue. First metal is expected in mid-2029. The company published a feasibility study in June 2025 and is due to publish an updated one this month.

Three things we believe, in order of confidence:

1. **The value of the project is a straight function of the copper price you assume and what the mine costs to build.** Using the company's own study, each \$1.00/lb of assumed long-run copper price is worth roughly \$0.93B of after-tax project value. So the entire argument reduces to: what copper price does today's \$1.6B market value already assume? Our corrected answer is ~\$**4.64/lb**. Copper spot on 2026-09-02 was \$**6.45/lb**.
2. **That gap is real but roughly half the size the original idea claimed** — and it is not free. It is compensation for three years of construction risk, an unfunded ~\$450–550M equity hole, and a study whose contents nobody outside the company knows yet.
3. **The company will almost certainly have to sell shares**, probably ~28–34% of the company, and the September study is the natural document to sell them against. The last raise cleared at \$15.00; at \$10 the same dollars cost 50% more shares.

What we do **not** believe: that this is a cheap stock at the company's own published base case. Run the base case with a realistic build cost and the fully-funded, zero-dilution value per share is about \$**7.75** — **22% below the tape**. You have to assume copper stays well above the company's own planning number to make money here.

What the market believes

The market is holding two views at once, and that is the most interesting fact in the file.

- **Sell-side analysts** — six or seven of them, every single one a Buy, average price target \$**21.42–22.08** — believe this is worth roughly twice the tape.
- **The actual tape** disagrees violently: the stock is down ~54% from its 52-week high, down ~43% year-to-date, and sits 25% off its low. On 2026-08-24 the company announced a \$**1.1 billion**

preliminary letter from the US Export-Import Bank; the stock popped to \$11.93 on Aug 26 and had given the entire move back by Sept 1.

So the market believes: the resource is real, the analysts' arithmetic is roughly right, and none of it is bankable until someone actually commits money. The round-trip on the EXIM news is the clearest statement of that belief we have. Holders read the press release, found the sentence that says it is not a commitment and that the EXIM board will not consider it until **spring 2027**, and sold.

Why we might have edge

Honestly assessed, our edge here is narrow and mostly *analytical hygiene*, not information:

1. **We did the funded-value arithmetic both ways and caught our own bench's errors.** The gap between "this is 44% dilution and a fatal short" and "this is 30% dilution and a two-sided wait" is entirely arithmetic that neither the sell-side notes nor the bearish tape appears to have done in public.
2. **We read the primary press release, not the headline.** The non-commitment language and the spring-2027 board date are in the body of the EXIM release, not the headline. The market's round-trip suggests others eventually found it too — but the pattern is repeatable and we have written it down as a reusable detector (a government "letter" that pops a developer and round-trips as holders read the non-commitment clause).
3. **We priced the non-core assets that both the bears and the simple models set to zero** — the Tintic project, the Typhoon geophysics business, the VRB battery subsidiary, 59.3% of Cordoba, and royalties. This is not theoretical: the company sold its Alacrán stake for **\$98.9M of cash inflow in the first half of 2026**. Charging the cost of owning those assets while crediting them zero manufactures a fake discount, and correcting it moved the base-case value from \$5.56 to \$7.75 per share.

Why it might be priced in

Strongly. This is the section that decides the verdict.

- **We would be agreeing with the street, louder.** Seven of seven analysts are Buy with targets around \$22. There is no neglected-name story here. The unanswered question is not "what is it worth" — it is "why would the market start paying closer to that number," and we have no mechanism for that.
- **The valuation math is published.** The June 2025 feasibility study is a public PDF. Anyone can build the same sensitivity table in twenty minutes.
- **A developer trading at roughly 1.0x its project's net asset value is not obviously cheap.** For a pre-construction project with no committed debt and three years to first metal, that is the top of the usual range, not the bottom. (Caveat: neither bench ran a peer screen, so this is our judgment, not a verified fact.)

- **The dilution is known.** Every holder can see the cash balance, the burn, and the build cost. A ~30% share increase is not a secret.
- **The one thing that isn't priced — the contents of the September study — is exactly the thing we cannot see.**

What could go wrong

(pre-mortem, written as if we had bought and lost)

Failure 1 — We bought the study and got the offering. (Monitorable.) The updated study prints a bigger project value, the stock jumps 15–20%, and the company sells \$450–550M of stock into the strength within days. New shares land at a discount to an already-elevated price; the value per share falls even though the headline project value rose. We are underwater on a piece of good news. This is the most likely single path, and it is the classic version of the mistake our own rules warn about: **we predicted the share sale and then bid in front of it.** Tripwires exist and are cheap: a shelf registration or prospectus supplement (S-3, 424B5, FWP) on EDGAR, an underwriter announcement, an unexplained gap down after a green day.

Failure 2 — The study itself is worse, and nothing outside the company could have told us. *(NO monitorable tripwire.)* An updated feasibility study is not just a copper-price update. It can restate grade, recovery, mine plan, schedule, water, or build cost. The build cost is the sensitive input: every additional \$1B of capex is worth about \$6.28 per share against us. If the study lands at, say, a \$4.00/lb deck with a \$1.8B build, the corrected base value falls below \$6 and the stock has a long way down before it is cheap. **We have no sensor for this and cannot build one.** The satellite build-out detector came back unusable (it compared 2021 to mid-2025 scenes, so it says nothing about a 2026 box cut); the hiring detector returned a self-declared filter fault, not an absence; nobody pulled the Pinal County permit archive. **Unknown-unknown class: issuer-private disclosure-set risk** — the number that will reprice the stock does not exist anywhere in the observable world until the company chooses to publish it. There is no early read, no leak channel, no proxy. The only defense is not owning it into the print.

Failure 3 — The gap closes from the wrong end. (Partly monitorable.) Our whole edge is “the tape pays \$4.64/lb, copper is \$6.45/lb.” That gap can close because the market marks up to copper, or because copper falls to \$4.64. Copper is at multi-year highs partly on US tariff policy; the COMEX price carries roughly a \$0.18/lb Section-232 premium and refined cathode is currently exempt from the duty. **Neither bench pulled the copper futures curve** — our “28% below spot” rests on a single spot print, and long-run study decks are struck off curves, not spot. If the curve is in backwardation, our headline number is partly an illusion. Monitorable via the copper tape; the curve gap is an open work item, not a sensor.

The reflexive and structural leg. We would be a buyer of a name we ourselves forecast will issue ~30% more shares — the exact behavior our flow rule forbids. **Our position size versus daily volume is unverified:** no IBKR history pull was permitted in either bench, so we cannot yet confirm a starter clears our $\leq 1\%$ -of-daily-volume ladder rule, and this is a \$1.6B company recently reweighted out

of at least two Russell style benchmarks (that flow is *completed*, not forward overhang — our bear bench got that wrong — but the passive sponsorship is thinner). Doctrine interactions, plainly stated: our “a clean court defaults to a small starter” rule does **not** apply, because both benches named real kills; our “never leave a resting order into a scheduled event” rule forbids a standing bid through the study; and our “don’t bid in front of flow you predicted” rule is the binding one.

If this position loses money, the most likely reason will be that we paid for the resolution of a study and received the financing of it instead — the good headline arrives, the shares are sold into it, and the value per share falls while the project value rises.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count 132.6M (from our own data pack)	10-Q cover page, 2026-08-07	159,590,259 shares outstanding	NO — our pack was stale. Corrected
Cash burn ~\$100M/yr (original idea)	10-Q cash flow statement	H1’26 operating cash use \$62.275M = \$125M/yr	NO — 25% understated. Corrected
EXIM provided “\$275M of committed debt capacity”	EXIM press release, primary text	<i>“The PPL does not constitute a financing commitment”</i> ; board consideration spring 2027	NO — nothing is committed. The original idea’s causal story fails
Dilution ~19% (original idea)	10-Q + build-cost math	~ 28–34% (\$450–550M)	NO — original idea far too low
Dilution 44% / \$710M (our bear bench)	Re-derived line by line	Bear double-counted the \$35.2M convertible (stripped from cash <i>and</i> added as a need), charged corporate overhead that is already inside the build cost, and ignored \$233M of usable cash	NO — our own bear was ~1.4x too high
Base-case funded value \$5.56/sh (our bear bench)	Recomputed with non-core assets credited	\$7.75/sh — bear charged the cost of owning Tintic/VRB/Cordoba/Typhoon while crediting them zero	NO — our own bear manufactured a discount. Filed as a reusable detector
“No 8-K filed for the EXIM letter = management voted it non-material” (our bear bench)	Form 8-K Item 1.01 requires a <i>material definitive agreement</i>	A non-binding letter has no filing trigger . Same absence for the April 2025 EXIM letter	NO — our own bear over-read a non-event
“Seven Buy ratings = we’d be agreeing with consensus” (our bear bench)	Analyst data	Coverage ≠ agreement — and the bear’s own value (\$5.56–7.75) sits 65–75% <i>below</i> the street’s \$21.9, the largest disagreement in the file	Half wrong. The “no edge vs. street” point survives; the “this is consensus” framing does not
Satellite construction detector “fired, weak” (our bear bench)	Detector output inspected	Returned scenes 2021-03-03 vs 2025-06-27 — never ran the requested 2024-vs-2026 comparison	NO — UNCHECKABLE, not a finding

Claim	How checked	Found	Confirmed?
Hiring detector “zero postings = no owner’s team” (our bear bench)	Detector output inspected	Detector self-reported “ <i>no postings (filtered) — check keywords/filter</i> ”	NO — a broken tool read as evidence. Withdrawn
Removed from Russell indices, permanent loss of passive bid	Headlines	Deletions were from Russell 3000E Value and Russell Microcap Growth — <i>style sub-indices</i> , effective after close 2026-06-26; simultaneous value-and-growth deletion is a style reweight, and a \$1.6B company does not belong in Microcap	Downgraded to near-artifact — but NOT verified against FTSE Russell primary. Open
Copper \$6.60/lb, 55% above base (original idea)	Commodity tape, 2026-09-02	\$6.45/lb , including ~\$0.18/lb US tariff premium	Directionally yes, number no
Non-core assets are free option value (our bull correction)	10-Q cash flow	Self-liquidating — the \$98.9M Alacrán sale and ~\$81.5M of warrant exercises are what funded the burn. They cannot both pay the bills and be free	Conceded against ourselves
A \$64.7M tunnel boring machine has been bought	US customs consignee records, 2025–26	No shipments — consistent with the company’s own Q1-2027 delivery schedule	Confirmed, and it dates the build cost as not yet incurred

Primary source for the balance-sheet and burn figures: [10-Q filed 2026-08-07](#). Primary source for the financing language: [EXIM preliminary project letter release, 2026-08-24](#).

PROPOSED ENTRY BANDS

Both benches say no entry today. These are reopen conditions, not a ladder. Tape reference: \$9.85 (our gateway) / \$10.03 (cross-check), 2026-09-02.

Reopen A — the study clears the bar. Buy a **0.5% starter** only if the updated feasibility study prints **all three**: assumed copper price $\geq \$5.00/\text{lb}$, build cost $\leq \$1.55\text{B}$, and the stock still trades at a price implying $\leq \$4.75/\text{lb}$ — which on our corrected table means $\leq \$10.65$. The stricter bear version of the same test (which we would prefer if the price is above \$10) is deck $\geq \$5.50/\text{lb}$, capex $\leq \$1.45\text{B}$, and after-tax project value $\geq \$2.5\text{B}$.

Reopen B — the paper is done. Buy a **0.5% starter** after a share sale is **priced, sized and closed**, and only after re-running the value table on the true post-deal share count. Deck-level arithmetic for what to expect: a \$500M raise near \$10 takes the share count to ~210M and cuts base-case value per share from \$7.75 to about **\$5.90**; at that share count, the price at which the *spot* copper deck is fully paid is roughly **\$15.67**, and a \$10 stock would be paying a **~\$5.17/lb** deck. So a post-raise entry still needs copper to hold above about \$5.20/lb long-run to work. (*This extension is ours, not either bench’s; it assumes equity used to fund capex adds shares without adding project value, which is the conservative treatment.*)

Reopen C — someone else’s money shows up. A signed EXIM **commitment** (not a letter), or a streaming/royalty/strategic package covering $\geq \$400\text{M}$ of the funding gap without common equity, or a

sale or financing of the VRB battery subsidiary. Any of these removes the dilution objection outright and re-opens entry up to **\$11.00**.

Value floor, no conditions. Below **\$7.75**, the stock is at or under the fully-funded, zero-dilution value of the *published base case* with a realistic build cost — i.e. you are getting any copper price above \$4.25/lb for free. Below **\$7.855** (the 52-week low) we would want to know *why* before buying, since a break there most likely signals the offering is imminent or the study disappointed.

Sizing. 0.5% of book maximum on any first entry; no adds until the share sale is behind us and the table is re-run. **Position size versus daily volume is unverified** — confirm the starter clears our $\leq 1\%$ -of-daily-volume rule before any order is written.

Explicitly forbidden: any resting or good-till-cancelled bid through the September study. If we buy, it is a decision made after reading the document, not an order left in the book.

Catalyst dates. Updated Santa Cruz feasibility study — **September 2026, day not named by the company** (verified language: “*expects to complete the updated Preliminary Feasibility Study ... in September 2026*”). Q3 results ~**2026-11-05** (derived from a data vendor, not confirmed by the company). VRB subsidiary convertible bond matures **2026-12-31** (auto-converts into VRB equity). Tunnel boring machine delivery **Q1 2027**. **EXIM board vote — spring 2027, no date announced.** First copper cathode **Q2 2029**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 7.75 (deck-provisional: fully-funded zero-dilution value of the company's published \$4.25/lb base case at a \$1.6B build cost)
- filing watch: S-3,S-3ASR,424B5,FWP,8-K until 2027-03-01 (deck-provisional: the equity raise - ~\$450-550M, roughly 28-34% dilution - is the single most decisive event and nothing)
- dated pack IE|2026-09-30: IE: updated Santa Cruz preliminary feasibility study - company says 'September 2026', no day named; outside date used (date confirmed=False)
- dated pack IE|2026-11-05: IE: Q3 2026 results and 10-Q - vendor-derived date, not confirmed by the company (date confirmed=False)
- dated pack IE|2026-12-31: IE: VRB Energy subsidiary 8% convertible bond matures; auto-converts into VRB equity at a \$158M cap on any VRB financing or sale (date confi
- dated pack IE|2027-03-31: IE: tunnel boring machine delivery (Q1 2027 per company); \$64.7M order not yet shipped per customs records (date confirmed=False)
- dated pack IE|2027-05-01: IE: US EXIM board consideration of the \$1.1B preliminary project letter - company says 'spring of 2027', no date named (date confirmed=False)
- dated pack IE|2029-06-30: IE: first copper cathode (Q2 2029 per company) (date confirmed=False)

What remains unverified

- **The contents of the September study** — the assumed copper price, the build cost, and any change to grade, recovery or schedule. This is the whole trade and it is unknowable in advance.
- **The exact publication date.** “September 2026” is the company’s own language; no day has been named.
- **The copper forward curve.** Neither bench pulled it. “28% below spot” is a spot comparison, not a curve comparison, and study decks are struck off curves.
- **Peer valuations.** No comparable-developer screen was run, so the claim that ~1.0x net asset value is rich for this stage is our judgment, not a verified fact. Neither bench’s version of this claim is confirmed.
- **The Russell index question.** The style-sub-index reading is well-supported by headlines but was never checked against FTSE Russell’s own membership files.
- **Live market data.** IBKR contract search was denied in both benches; prices come from our data pack and a cross-check, and no volume or daily-range history was pulled — so daily volume, and therefore our size limit, is unknown.
- **Physical construction progress.** Every remote sensor we tried was either unusable or out of date. We currently have no independent read on whether anything is happening on the ground.
- **Whether the \$200M credit facility gets drawn.** It is undrawn, two years, at SOFR + 5.0% stepping up 0.5% every six months. It gives management a way to postpone selling stock past the spring-2027 EXIM vote; the escalating rate says they know it is expensive. Which path they take is unknown and materially changes the dilution.

```
{"price_gates": [{"level": 10.65, "direction": "below", "basis": "Reopen-A ceiling: price implying a copper deck of $4.75/lb or less on the corrected funded-value table"}, {"level": 8.75, "direction": "below", "basis": "typical discount zone for a marketed equity offering off a ~$10 tape; a break here without news likely means the deal is being built"}, {"level": 7.855, "direction": "below", "basis": "52-week low; a break signals offering imminent or study disappointed – do not buy the break blind"}, {"level": 7.75, "direction": "below", "basis": "fully-funded zero-dilution value of the company's published $4.25/lb base case at a $1.6B build cost"}, {"level": 11.93, "direction": "above", "basis": "2026-08-26 EXIM-announcement high; a reclaim means the market has re-granted the non-binding letter"}], "event_gates": [{"forms": ["S-3", "S-3ASR", "424B5", "FWP", "8-K"], "why": "the equity raise – ~$450-550M, roughly 28-34% dilution – is the single most decisive event and nothing currently watches for it"}, {"forms": ["8-K"], "why": "Item 1.01 definitive agreement: a signed EXIM commitment, streaming/royalty deal, or strategic package covering >=$400M would remove the dilution objection"}, {"forms": ["10-Q"], "why": "Q3 report: confirm the $125M/yr burn, whether the $200M bridge was drawn, and how the VRB convertible settled"}, {"forms": ["4"], "why": "insider buying or selling into the September study print is one of the few observable signals available on an otherwise unreadable name"}, {"forms": ["SC 13D", "SC 13G/A"], "why": "a strategic or sovereign holder building a stake would be a non-dilutive funding tell ahead of any announcement"}], "catalyst_dates": [{"date": "2026-09-30", "what": "updated Santa Cruz preliminary feasibility study – company says 'September 2026', no day named; outside date used", "confirmed": false}, {"date": "2026-11-05", "what": "Q3 2026 results and 10-Q – vendor-derived date, not confirmed by the company", "confirmed": false}, {"date": "2026-12-31", "what": "VRB Energy subsidiary 8% convertible bond matures; auto-converts into VRB equity at a $158M cap on any VRB financing or sale", "confirmed": true}, {"date": "2027-03-31", "what": "tunnel boring machine delivery (Q1 2027 per company); $64.7M order not yet shipped per customs records", "confirmed": false}, {"date": "2027-05-01", "what": "US EXIM board consideration of the $1.1B preliminary project letter – company says 'spring of 2027', no date named", "confirmed": false}, {"date": "2029-06-30", "what": "first copper cathode (Q2 2029 per company)", "confirmed": false}], "immediate_entry": null}
```